



General Assembly

February Session, 2026

Raised Bill No. 432

LCO No. 1644



Referred to Committee on HUMAN SERVICES

Introduced by:
(HS)

***AN ACT DISREGARDING THE CASH VALUE OF LIFE INSURANCE
POLICIES IN ELIGIBILITY DETERMINATIONS FOR CERTAIN PUBLIC
ASSISTANCE PROGRAMS.***

Be it enacted by the Senate and House of Representatives in General
Assembly convened:

1 Section 1. Subsection (h) of section 17b-261 of the 2026 supplement to
2 the general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective July 1, 2026*):

4 (h) To the extent permissible under federal law, an institutionalized
5 individual, as defined in Section 1917 of the Social Security Act, 42 USC
6 1396p(h)(3), shall not be determined ineligible for Medicaid solely on
7 the basis of the cash value of a life insurance policy. [worth less than ten
8 thousand dollars provided the individual is pursuing the surrender of
9 the policy.]

10 Sec. 2. Subsection (c) of section 17b-191 of the 2026 supplement to the
11 general statutes is repealed and the following is substituted in lieu
12 thereof (*Effective July 1, 2026*):

13 (c) To be eligible for cash assistance under the program, a person shall

14 (1) be (A) eighteen years of age or older; (B) a minor found by a court to
 15 be emancipated pursuant to section 46b-150; or (C) under eighteen years
 16 of age and the commissioner determines good cause for such person's
 17 eligibility, and (2) not have assets exceeding five hundred dollars or, if
 18 such person is married, such person and his or her spouse shall not have
 19 assets exceeding one thousand dollars. In determining eligibility, the
 20 commissioner shall disregard from income (A) all United States
 21 Department of Veterans Affairs-administered non-service-connected
 22 pension benefits, Aid and Attendance pension benefits and
 23 Housebound pension benefits that are granted to a veteran, as defined
 24 in section 27-103, or the surviving spouse of such veteran; [and] (B) any
 25 tax refund or advance payment with respect to a refundable credit to
 26 the same extent such refund or advance payment would be disregarded
 27 under 26 USC 6409 in any federal program or state or local program
 28 financed in whole or in part with federal funds; and (C) the cash value
 29 of a life insurance policy. No person who is a substance abuser and
 30 refuses or fails to enter available, appropriate treatment shall be eligible
 31 for cash assistance under the program until such person enters
 32 treatment. No person whose benefits from the temporary family
 33 assistance program have terminated as a result of time-limited benefits
 34 or for failure to comply with a program requirement shall be eligible for
 35 cash assistance under the program.

36 Sec. 3. Subdivision (1) of subsection (d) of section 17b-112 of the 2026
 37 supplement to the general statutes is repealed and the following is
 38 substituted in lieu thereof (*Effective July 1, 2026*):

39 (d) (1) Under said program, no family shall be eligible that has total
 40 gross earnings exceeding the federal poverty level, however, in the
 41 calculation of the benefit amount for eligible families and previously
 42 eligible families that become ineligible temporarily because of receipt of
 43 workers' compensation benefits by a family member who subsequently
 44 returns to work immediately after the period of receipt of such benefits,
 45 earned income shall be disregarded up to the federal poverty level.
 46 When calculating the earnings of a family with income from self-

47 employment, the commissioner shall apply a standard deduction
 48 equivalent to fifty-one per cent of the total monthly income derived
 49 from such self-employment, provided the family verifies at least one
 50 allowable expense directly related to earning such income. A family
 51 may instead deduct all allowable monthly expenses directly related to
 52 the self-employment earnings if such expenses are verified and, in the
 53 aggregate, exceed the amount of the standard deduction. On and after
 54 October 1, 2023, the commissioner shall not deny a family assistance
 55 under said program on the basis of such family's assets unless such
 56 assets exceed six thousand dollars. To the extent permissible under
 57 federal law governing the program, the commissioner shall disregard
 58 the cash value of a life insurance policy when calculating a family's
 59 assets. Except when determining eligibility for a six-month extension of
 60 benefits pursuant to subsection (c) of this section, the commissioner
 61 shall disregard the first fifty dollars per month of income attributable to
 62 current child support that a family receives in determining eligibility
 63 and benefit levels for temporary family assistance. Any current child
 64 support in excess of fifty dollars per month collected by the department
 65 on behalf of an eligible child shall be considered in determining
 66 eligibility but shall not be considered when calculating benefits and
 67 shall be taken as reimbursement for assistance paid under this section,
 68 except that when the current child support collected exceeds the family's
 69 monthly award of temporary family assistance benefits plus fifty
 70 dollars, the current child support shall be paid to the family and shall be
 71 considered when calculating benefits.

72 Sec. 4. Section 17b-91 of the general statutes is repealed and the
 73 following is substituted in lieu thereof (*Effective July 1, 2026*):

74 (a) The commissioner shall exclude, in the determination of eligibility
 75 for the state supplement program and the temporary family assistance
 76 program, burial funds in an amount not to exceed the maximum amount
 77 provided in section 17b-84. Such funds may be in the form of funeral
 78 service contracts as described in section 42-200, irrevocable funeral
 79 service contracts or the face value of life insurance policies if the cash

80 surrender value is excluded through the irrevocable transfer of the
81 ownership of the policy to a trust, or any combination thereof, not to
82 exceed the maximum amount provided in said section 17b-84.

83 (b) The commissioner shall exclude, in the determination of eligibility
84 for the state supplement program and for the temporary family
85 assistance program, the value of a burial plot not to exceed one exclusion
86 per individual.

87 (c) The commissioner shall exclude from consideration as an asset, in
88 the determination of eligibility for the state supplement program and
89 for the temporary family assistance program, (1) the value of an
90 irrevocable funeral contract except that the value of such contract shall
91 be considered towards the amount excluded in subsection (a) of this
92 section, and (2) the cash value of a life insurance policy not subject to the
93 provisions of subsection (a) of this section.

94 (d) Nothing in this section shall prevent the commissioner from
95 excluding from consideration as an asset in the determination of
96 eligibility for the state supplement program, or the temporary family
97 assistance program other personal or real property as he determines is
98 necessary for the effective administration of such programs.

99 (e) Where federal law or regulations governing the state supplement
100 program, the temporary family assistance program, or the medical
101 assistance program conflict with the provisions of this section, such law
102 or regulations shall prevail.

103 (f) The exclusion for the burial fund amount in subsection (a) of this
104 section, the exclusion for the burial plot value in subsection (b) of this
105 section and the exclusion for the irrevocable funeral contract value and
106 cash value of a life insurance policy in subsection (c) of this section shall
107 be applied by the commissioner uniformly throughout the state. For
108 purposes of this section, "burial plot" means a purchase of a grave site,
109 opening and closing of a grave site, cremation urn, casket, outer burial
110 container and a headstone or marker.

This act shall take effect as follows and shall amend the following sections:

Section 1	<i>July 1, 2026</i>	17b-261(h)
Sec. 2	<i>July 1, 2026</i>	17b-191(c)
Sec. 3	<i>July 1, 2026</i>	17b-112(d)(1)
Sec. 4	<i>July 1, 2026</i>	17b-91

Statement of Purpose:

To disregard the cash value of life insurance policies in eligibility determinations for Medicaid, temporary family assistance, the state supplement program and the state-administered general assistance program.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]